

ECONOMIC AND MONETARY UNION (EMU)

BASED ON WALTRAUD SCHELKLE (2017)

Presented by Ryan Brooks

Overview

- **EMU=integration of European econmies into one system**
- **Combines:**
- **Shared market (econmic union)**
- **shared currency (monetary union)**
- **Goal: make Europe more stable and competitive**
- **It is not just econmic it is also political cooperation**

Tones & Themes

Tone:

- **Analytical (explains + evaluates**
- **A bit critical as it points out different flaws**

Themes:

- **Cooperation vs national control**
- **Stability vs crisis**
- **Integration vs independence**
- **Incomplete systems that can further lead to problems**

About the Author

Waltraud Schelkle

- **Expert in European economic policy**
- **Focuses on Monetary Systems**
- **EU governance**
- **Her work often questions if EU systems actually work**
- **Highlights weakness in EMU**

Main Argument

- **EMU was created to improve econmic stability**
- **It works in some ways such as trade and integration**
- **However, it is not fully developed**
- **Lacks key systems such as fiscal support which is why probelms can happen**

Historical Background

- **After WWII Europe wanted to stop future wars**
- **Countries beleived that econmic cooperation could result in peace**
- **Bretton Woods system collapsed in the 1970s**
- **Europe needed a new system for stabilitu which lead to early ideas for EMU**

Early Steps Toward EMU

- **1979 - European Monetary Systems (EMS)**
- **Countries linked exchange rates**
- **Goal: reduce currency fluctuations**
- **Issues - still not fully stable, countries had different economies which led to desire for single currency**

Why Create the Euro?

- **Remove exchange rate risks**
- **Make trade easier between countries**
- **Lower costs for businesses**
- **Prevent countries from manipulating currency**
- **Strengthen Europe globally**

Key Event – Delors Report (1989)

- **Created a main roadmap for EMU**
- **Introduced 3 main stages**
 - **1. Economic coordination**
 - **2. Financial integration**
 - **3. Single currency**
- **Built trust by involving central banks**

How EMU Works

- **Two main parts that create one integrated system**
 - **1. Monetary Union**
 - **One currency (euro)**
 - **Controlled by ECB**
 - **2. Econmic Union**
 - **Free movement:**
 - **Goods**
 - **Services**
 - **People**
 - **Capital**

European Central Bank (ECB)

- **Controls money supply + interest rates**
- **Main goals: keep inflation low (-2%)**
- **Independt from governments**
- **Can act quickly without political pressure**

Fiscal Rules

- **Countries must:**
 - **Deficit $< 3\%$ of GDP**
 - **Debt $< 60\%$ of GDP**
- **Purpose is to prevent irresponsible spending, and keep euro stable**
- **Problem is it is hard to enforce, and countries will sometimes ignore the rules**

Problems Start

- **Certain countries (France, Germany) broke the rules**
- **There was no strong punishment system in place**
- **Government prioritized their own needs**

2008 Financial Crisis

- **Global financial crash badly affects Europe**
- **Bank ends up losing money, and the government steps in**
- **Governments take on a huge debt**

Eurozone Crisis (2010-2012)

- **Countries such as Spain, Greece and Italy struggled**
- **There was high debt and weak economies**
- **Investors start to lose confidence**
- **Borrowing starts to become very expensive**

Core Problem

- **Emu has strong monetary system (ECB)**
- **Weak fiscal system (no shared budget)**
- **Countries share a currency but not full financial support**
- **This system causes instability**

Diabolic Loop

- **Banks fail leads to the government bailing them out**
- **Government debt increases**
- **Investors lose confidence**
- **Banks holding government bonds suffer**
- **Cycle repeats and crisis worsens**

Solutions Proposed

- **Banking Union which is better supervision**
- **European Stability Mechanism (financial support)**
- **Eurobonds (shared debt)**
- **More fiscal integration**

Key Debate

- How much power should countries share is the main question
- More integration: more stability and less independence
- Less integration: more control more risk

Final Takeaway

- EMU is a major achievement
- Helped integrate European economies
- It is still incomplete and needs more coordination
- Without reform, crisis can continue

